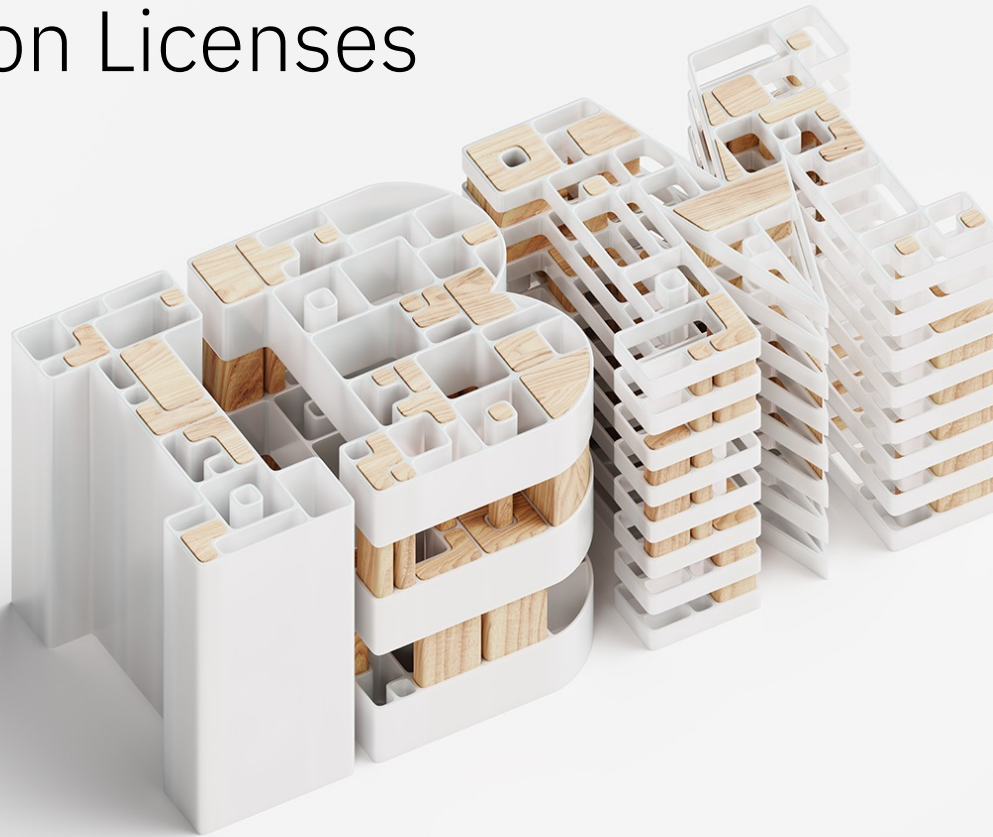


IBM HashiCorp Flexible Subscription Licenses

February 10, 2026



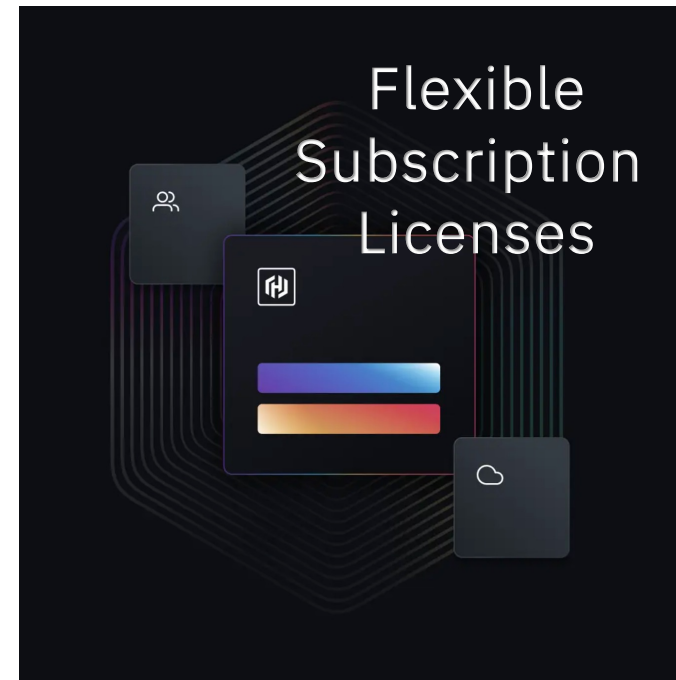
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IBM HashiCorp Flexible Subscription License (FSL)

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- How sellers are paid on FSL



Flexible Subscription License – Introduction I/II

IBM HashiCorp Flexible Subscription Licenses

- Flexible Subscription Licenses (FSL) is a new license type for IBM HashiCorp self managed parts (= on premise software which can be downloaded and installed anywhere).
- IBM FSL follows the approach of HashiCorp pre acquisition. Their customers who license self managed software currently can terminate for convenience.
- Unlike standard IBM Subscription Licenses, Client may terminate IBM Flexible Subscription License term early by giving IBM at least 30 days' written notice. Client will receive a prorated credit for any whole months remaining in a prepaid term. The credit can then be applied against future purchases of IBM Software and will expires 12 months after the issuance of the credit.

IBM HashiCorp Self
Managed Offerings with
Flexible Subscription
License types.

[HashiCorp Parts and
Pricing Deck on Seismic](#)

Offerings



Terraform



Nomad



Vault



Boundary



Consul

Description

Automate infrastructure lifecycle management

Build, deploy, release process for consistency, across platforms & tools

Identity-based secrets and encryption management system as a service

Secure remote access with authentication of trusted identity

Enables microservices communication across distributed environments

Flexible Subscription License – Introduction II/II

IBM HashiCorp Flexible Subscription Licenses

- Flexible Subscription Licenses, behave from an ordering perspective like the standard IBM Subscription License model (ordered with D parts only), but FSL are cancellable. Refer to the FSL T&Cs on the next page.
- FSL transactions are set to Terminate at End of Term, with Billing frequency as Annual or Upfront, and an End date is end of month – 1.
- There is a difference in the Bill of Material (BOM) revenue split. Where the non-cancellable Subscription License allocate a % of the TCV to the License and to the S&S. The FSL has no transactional revenue and all revenue is ratable.

[Source](#)

Flexible Subscription License T&Cs

T&Cs

- Quotes created in IBM Quoting for IBM HashiCorp Self-Managed Subscription will include link to IBM Flexible Subscription License Attachment.
- [Link to IBM Terms](#)

IBM Singapore Pte Ltd
Registration No. 1975-01566-C
IBM Singapore Pte Ltd, 7 Changi Business Park Central 1, The IBM Place, Singapore 486072



IBM Quotation

Attachment at <http://ibm.com/terms/?id=i126-9907> applies to the Flexible Subscription License offering(s) identified in this document.



Attachment



Flexible Subscription License

This Attachment applies when Client orders eligible Programs as a Flexible Subscription License. This Attachment supplements the term licensing provisions of the IBM International Passport Advantage Agreement, IBM International Passport Advantage Express Agreement, or equivalent agreement, as applicable for the acquired eligible Program, between Client and IBM ("Base Agreement"). Capitalized terms not defined in this Attachment are defined in the Base Agreement and associated documents.

Client may terminate a Flexible Subscription License term early by giving IBM at least 30 days' written notice. Client will receive a prorated credit for any whole months remaining in a prepaid term. The credit can only be applied against future purchases of IBM Programs or IBM Cloud Services governed by a Base Agreement or the Cloud Services Agreement and expires 12 months after the issuance of the credit.

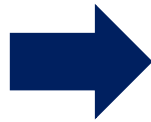
How Credit Works / How to Process Early Terminations

Credit Direct Deal

- A Client that purchased Flexible Subscriptions directly from an IBM will have the credit issued by IBM.

Credit via Ecosystem:

- A Client that purchased Flexible Subscriptions from an IBM authorized Business Partner will have the credit issued by IBM via the IBM Business Partner. Client should consult with its IBM Business Partner regarding use of the credit.



Use of Credit

The credit can then be applied against future purchases of IBM Software. The credit expires 12 months after the issuance of the credit.

How to process early terminations

Instructions how an IBM employee can process an early termination in [IBM Engage Support](#) with customer mail

<https://w3.ibm.com/w3publisher/subscription-license-q2c/flexible-subscription>



Hashi Corp - Early termination for convenience March 10 2025 (3).docx

FSL - Financial Treatment



This is how signings are recognized:

FSL drive Subscription License signings

FSL License signings are recognized upfront as Signings ACV. The full annual contract signing value is recognized upfront, not monthly.

Signings recognition occurs when firm order requirements are met

, not when license keys are delivered which is usually a few days later.

This is how revenue is recognized:

No period revenue is associated with Flexible Subscription parts.

Revenue is ratable based on 'Termination for Convenience' language and books to the ledger monthly.

Example:

3-year contract with HashiCorp Flexible Subscription Licenses for 360k\$ in total.

TCV signings = 360k\$
ACV signings = 120k\$
Period revenue = 0\$
Over the contract duration, IBM will recognize 10k\$ revenue each month.

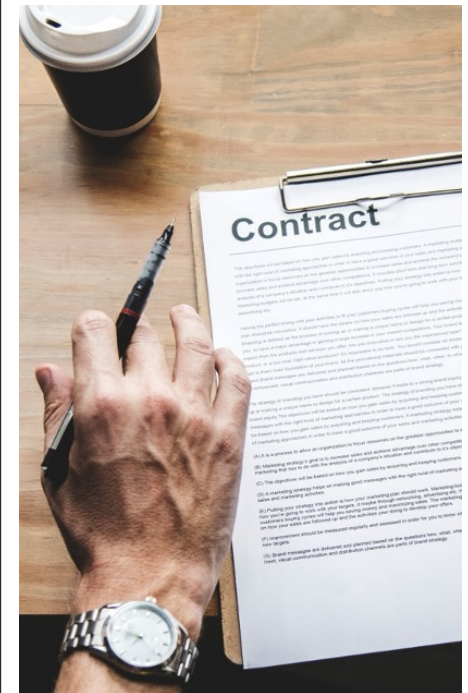
ELA Quoting Considerations

It is **important to work with the IBM Dealmaker PRIOR** to suggesting to the client that HashiCorp can be included in an ELA and **BEFORE** any quote

IBM HashiCorp Self-Managed parts are based on Flexible Subscription Licenses (FSL) and **can be sold only in fixed quantity only (p*q).**

Inclusion in Unlimited License Agreements is not approved by the business unit.

Products based on FSL **cannot be included in an ELA Catalog with perpetual parts** without driving the catalog towards ratability.



Forecasting: ISC Guidance for FSL

IBM HashiCorp Self-Managed Parts are based on Flexible Subscription Licenses. For forecasting in ISC please use

Product family = **SWSUBSCR** (SW Subscription)

Type = **Monthly License**

Revenue Type = **Subscription ACV**

IBM Sales Cloud

Search...

Sales Console Opportunities Test | Opportunity

Test | Opportunity Test Ansi... Test Terr...

Product	Quantity	Estimated Total	Product Code
Terraform	1.00	USD 500,000.00	30A9J

Details Related

Opportunity Product Name	Test Terraform
Product	Terraform
Product Code	30A9J
Product Family	SWSUBSCR
Revenue Type	Subscription ACV
Period Revenue	

Opportunity	Test
Classification	New
Type	Monthly License
Estimated Total	USD 500,000.00
Term	12
Annual Value	USD 500,000.00



HashiCorp Revenue Reporting (ISC and EPM)

Currently, in HashiCorp we recognize 3 main lines of business:

- “Self Managed” (Subscriptions),
- “Cloud” (SaaS) and
- “Expert Labs”.

These three can be further divided into the two signings categories:

- “New Signings” and
- “Renewal Signings”.

IBM HashiCorp “Self Managed” represents the 100% ratable licenses which the seller guidance has prompted reps to code as

- Product Family Software Subscription (SWSUBSCR) with
- Contract Type Monthly License (YPEMNL).

This combination will force this opportunity to be excluded from the transactional measurements and be placed under “HashiCorp Self Managed” bucket in Signings.

More details: [HashiCorp Forecasting Guide on Seismic.](#)

HashiCorp Call and Upside

HashiCorp Pipeline Revenue Type...	HashiCorp Pipeline Revenue Type...
New Signings	Self-Managed New
	Cloud New
Summary	
Renewal Signings	Self-Managed Renewal
	Cloud Renewal
Summary	
TEL	Expert Labs

[Link to ISC HashiCorp Topsheet](#)

[Link to ISC SaaS ACV Roadmap](#)

[Link to Pipeline Summary for Sales in EPM \(EPM1-001\)](#)

[Link to EPM HashiCorp Topsheet](#)

EPM Example: HashiCorp Topsheet

EPM HashiCorp Topsheet (<https://ibm.biz/HashiCorpTopsheet>)

All tabs

Reporting Quarter
CQ

Month

Geography Name

Mar

This tab

Tactic
HashiCorp

SaaS Custom UT15

HashiCorp New Signings Summary

HashiCorp Details - Preload

Hashicorp Details - Interactive

HashiCorp New Sig...ummary by Country

Settings

2Q 2025

Pipeline as of (no value)

(DtD: (no value)

PtP: (no value))

PPV as of 2025-06-07

PRA as of 2025-06-08

SaaS and Self-Managed ACV Summary

	Budget	Target	PPV	Net Call	ISC Call DtD	ISC Call PtP	Net Call B/(W) Target	Won	Upside	Stretch
1. Americas	44.4	47.5	11.4	35.7	0.0 ↑	5.1 ↑	(11.8)	15.9	15.0	5.2
2. EMEA	18.1	20.9	1.5	8.6	0.0	-1.1 ↓	(12.3)	2.5	2.7	6.8
3. Japan	2.3	2.3	0.9	1.0	0.0	0.3 ↑	(1.4)	0.5	0.3	0.1
4. APAC	6.0	7.7	1.3	3.9	0.0	-0.0 ↓	(3.8)	2.6	0.0	1.1
Summary	70.9	78.5	15.1	49.1	0.0	4.3	(29.4)	21.5	17.9	13.3

ACV signings from IBM HashiCorp Flexible Subscription Licenses are included.

Americas	Canadian Market	Canada	0.0	0%	4.0	4.0	2.9	0.0	0.8	0.0	0.9	0%
		Canada Plan	2.9	0%	0.0	(2.9)	N/A	0.0	0	0.0	N/A	0%
		Cayman Islands	0.0	0%	0.0	0.0	N/A	0.0	0	0.0	N/A	0%
		Summary	2.9	0%	4.0	1.1	2.9	0.0	0.8	0.0	0.9	0%
		Latin America Market	Argentina	0.0	0%	0.2	0.2	N/A	0.0	0	0.0	N/A
	Brazil	0.0	0%	0.9	0.9	0.7	0.0	0.1	0.0	0.0	0%	
	Chile	0.0	0%	0.1	0.1	0.1	0.0	0	0.0	0.2	0%	
	Colombia	0.0	0%	0.1	0.1	N/A	0.0	0	0.0	0.0	0%	
	Latin America	1.6	0%	0.0	(1.6)	N/A	0.0	0	0.0	N/A	0%	

FSL in IBM Quoting

In IBM Quoting search for the IBM HashiCorp offering and select subscription license configurator. This will add the FSL to the quote.

Offerings

Terraform

Nomad

Vault

Boundary

Consul

Search Results Terraform

Search: Terraform X Clear All

Product Name	Category:	Actions
IBM Terraform - MultiPID SaaS Configurator	Terraform	Configure
Terraform - Subscription License Universal Configurator	Terraform	Configure
Terraform - Universal SaaS Configurator	Terraform	Configure

Terraform Self-Managed for Z and LinuxONE - Perpetual License Universal Configurator

Subscription License Parts Ramp Up Part List

Click to select a product from the list. If you do not see the product you want, begin typing its name or part number to find the part.

IBM Terraform Self-Managed

Software License Type:

☒ Subscription License

☐ Subscription License Advanced Support

Is this a renewal quote?

☐ Yes

☒ No

Change the requested start date:

☐ Yes

Apply future pricing to this configuration:

☐ Yes

Find part in table

Filter by name , or part number

License Type	Part Number	Part Description
Subscription License	D1006ZX Related parts	IBM Terraform Self-Managed Premium Resource Value Unit FLEXIBLE SUBSCRIPTION LICENSE

